

Strong business model !!!

- Affordable housing segment is in currently high growth phase led by strong demand and lesser competition in low-ticket size loan segment which has high ROE/ROA and better asset quality profile. Shriram Housing Finance, Home First, Aptus, Can Fin Homes, Aavas Financiers are all into low ticket size affordable housing loans segment. However, very few players are as profitable as Home First Finance
- Sufficient capital buffers; AUM can grow by 25-30% over the next 4-5 yrs without capital infusion** - The NBFC is more confident to grow AUMs at 25-30% CAGR over the next 4-5 years given strong demand and its lesser penetration. In the last 5 years, AUMs have grown at 44% CAGR during FY17-22 period. Next level of growth will come from deeper penetration in the existing geographies (Maharashtra, Gujarat, AP, TN, Telangana, Karnataka) covering more industrial hubs & cities. Total industry size of affordable housing market (with avg. ticket size of loans in the range of ~5-25 lakhs) in terms of AUMs is ~9 lakh crore in FY22 (with disbursements of ~2 lakh crore), which is growing at rate of 10-12% in last 4-5 years. Home First is growing at 3x higher than the industry rate and its current market share is 0.6% which it anticipates to grow to 5-6% in the longer run. Potential opportunity in this affordable housing market segment is huge wherein Home First is aptly placed to capture that.
- Going forward, growth in the AUMs will be driven by the housing loans which form 90% of the total loans.** In the housing loan segment, 72% comes from salaried customers and balance 28% are self-employed customers. Total yields in the housing loan segment is ~13%. Yields in the self-constructed properties is 75-100 bps higher than the apartment based housing loans. And the average ticket size of the total AUMs is ~10.7 lakhs. Usually, the customers are the lower end of the middle class segment in the outskirts of the city and do not have proper loan document & sometimes income generated is in cash. This is more of informal class of customers wherein the banks and NBFCs don't do much lending. The company does proper due diligence of income assessment of respective customers before lending. Relative competition in this segment from other banks and NBFCs is very less; Home First is one of the most profitable player in this segment.

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
NII	1,895	2,622	3,462	4,437	5,483
PAT	1,001	1,861	2,306	2,893	3,616
Net worth	13,805	15,737	18,043	20,936	24,552
Adj BVPS	153	171	196	228	268
EPS (Rs)	11	21	26	33	41
P/ABV (x)	6.2	5.5	4.8	4.1	3.5
P/E (x)	83	45	36	29	23
RoA (%)	2.5	3.9	4.0	3.9	3.9
RoE (%)	8.7	12.6	13.7	14.8	15.9

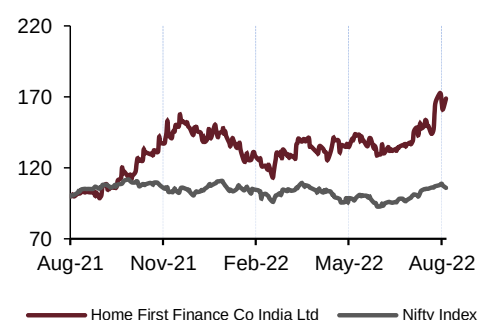
Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	954	1

Market data

Current price	Rs	945
Market Cap (Rs.Bn)	(Rs Bn)	83
Market Cap (US\$ Mn)	(US\$ Mn)	1,039
Face Value	Rs	2
52 Weeks High/Low	Rs	1,004 / 535
Average Daily Volume	('000)	210
BSE Code		543259
Bloomberg		HOMEFIRST.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	33.6	33.6
Public	66.4	66.4
Others	0.0	0.0
Total	100	100

Source: Bloomberg

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- **LAP book is likely to grow to 12-13% from current 9% levels** - Currently, LAP book forms 9% of the total AUMs, which is likely to grow to 12-13% levels over the next 2 years' time. Average yield in LAP segment is 14.5%; risk-reward is more favourable and mix of the customers is also diverse
- **Securitization - the most profitable strategy** - The NBFC has securitized nearly ~9% of the total AUMs in FY22 (~INR 4646 mn and INR 879 mn in Q1FY23). Going forward also, company mentioned ~15% of the AUMs is likely to be securitized. This is one of the most profitable strategy of the company since it frees up capital and demand for such loans is also higher given PSL requirements of such loans. Assets are largely sold to banks having PSL requirements. Benefit of difference in yields during sell-off is retained and booked upfront by the company which helps in boosting its return ratios.
- **Co-lending arrangement also increasing** - In Q1FY23, Home First has done co-lending arrangements with Union Bank of India wherein it is looking at AUMs of ~100 mn per month. In this arrangements, ticket size is higher at ~15-30 lacs category wherein the other banks & NBFCs have larger presence and yields are ~9.5%. It usually retains 20% of the assets generated and balance 80% is transferred to the co-lending partner.
- **The company is likely to double the branch count from current count of 93.** Currently, it is present in the most industrialized space in 13 states & 1 UT which captures 80% of the affordable housing finance market. It has larger presence in the Maharashtra, Gujarat, TN, Karnataka, Rajasthan & Telangana. Despite, doubling the branch count over the next 2 years time, opex to avg. assets is likely to remain at current levels of 2.6-2.7% levels.
- **Yields are expected to come off marginally; NII expected to grow by 33%** - In Q1FY23, there was upward pressure on both yields and funding cost by ~60-80 bps each due to rising interest rate scenario. For FY22, blended yields were at 12.5% (cal) and cost of funds at 6.6% (cal). Company highlighted that there will be increased cost will be passed onto the customers, however, despite that, we assume marginal dip in the spreads. Spreads are estimated to be at 5.7% in FY23e, 20 bps drop from FY22 levels of 5.9%. Positively, it is likely to get the benefit in borrowing cost as there is credit rating upgrade from ICRA & CARE from AA- to A+. Going forward, healthy asset growth coupled with stable spreads would result in strong NII CAGR growth of 33% over FY22-24e.
- **Stable asset quality trend** - Housing finance is one segment where NPLs are relatively less as compared to other loan segments. For home First, the company does not expects any large asset quality risks; credit cost is anticipated to be at 40-50 bps vs. our conservative assumption of 60 bps for FY23e. The company's collection efficiency is trending to back to normal levels to 98.4% levels in Jun 2022. There was jump in gross NPLs by 1% (INR 440 mn) to 2.3% due to re-classification of RBI circular in FY22; this is likely to come down over the period of time in next couple of quarters. Asset quality trends visible in DPD 1+/ DPD 30+ buckets over the last 5 quarters is also trending down which is positive.

Valuations

Home First is one of the niche players in affordable housing segment in lower ticket size of loans 10-15 lacs wherein lending happens based on income assessment of the customer. In this segment, formal lending of banks and NBFCs is not much. Home First is one of the most profitable player in this said segment with ROA of ~4%.

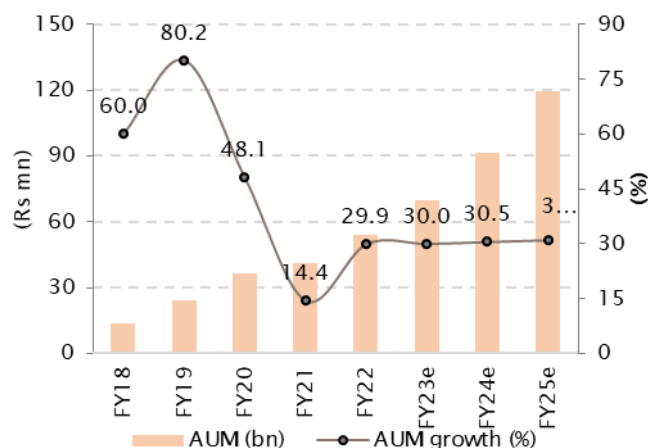
Currently, it has high capital position with CAR of ~52% levels. It can continue to grow at higher rates of 25-30% over the next 4-5 years without any capital infusion. ROA of the company is at high levels of ~4% and ROE is comparatively less at ~12% levels due to low leverage. However, going forward, with the leverage improving, ROE is expected to grow to 15% in FY24e from 12.6% in FY22. We expect PAT to grow at strong rate of 25% CAGR during FY22-24e.

Currently, it is trading at high valuations of 4.8x/4.1x FY23e/FY24e ABV respectively. In our view, it will continue to trade at premium valuations given it is one of the most profitable niche player in affordable housing loans (in lower ticket size of loans). We remain positive on the stock from long term perspective. We recommend investors to accumulate the stock on further dips. Our rating on the stock is – BUY ON DIPS with TP of INR 954 (we have assigned target multiple of 4.2x on FY24e ABV).

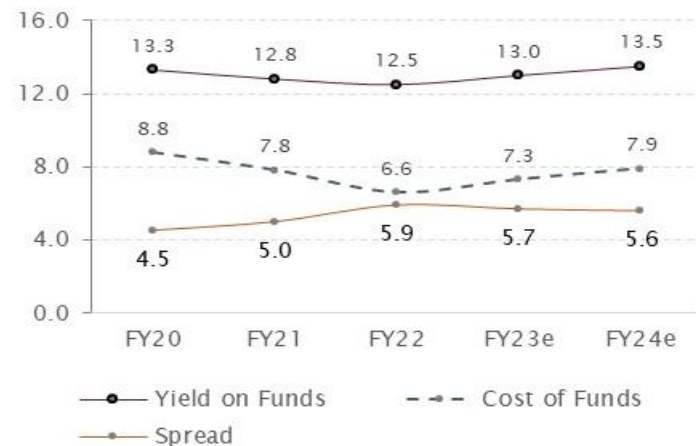
Peer Comparison

(Q1FY23)	Home First	Can Fin Homes	Shriram Housing Finance	Aptus Housing Finance
Ticket Size	~10-11 lacs	>20 lacs	~16.3 lacs	<10 lacs
AUMs (INR bn)	58.3 bn	275.4 bn	58 bn	~55.2 bn
Loan Break-up	90% - Housing Loans (72% is to salaried class, 28% to self-employed class), 9% - LAP loans, 1% - Shop loans	90% - Housing Loans (of this, 75% is to salaried class, 25% to non-salaried class), rest 9% is personal loans & mortgage loans	60% - Housing Loans, 28.5% - LAP, 5% - Top-up loans, 6.6% - CF/CL	58% - Home Loans, 20% Small Business Loans, 15% - Quasi Home Loans, 3% - Top-up loans, 3% - Insurance Loans
Geographies	Presence in Gujarat, Maharashtra, TN, Karnataka, Rajasthan, Telangana	Pan-India presence, but larger presence in TN, Andhra Pradesh, Maharashtra, Karnataka	Larger presence in TN, AP, Telangana, Karnataka, Gujarat, Maharashtra	Presence in Tamil Nadu, Karnataka, Andhra Pradesh, Telangana and Odisha.
Presence	93 branches, 13 States/UTs, 102 Districts, 224 touchpoints	187 branches, 13 Satellite Offices	107 branches, 799 employees	211 branches,
Customers Base	65254	560000 (FY22)		83000
Profitability Matrix				
-ROE (%)	11.8% (FY22), 12.8% (Q1FY23)	20% (Q1FY23), 15.4% (FY22)	-	15.6% (Q1FY23)
- ROA (%)	3.9%	2.4% (Q1FY23), 2% (FY22)	2.5% (Q1FY23), 2.1% (FY22)	8.9% (Q1FY23)
Cost/Income ratio	35.8%	15.8%	48.8%	17.0%
Asset Quality				
- Gross NPAs (%)	2.1%	0.7%	1.1%	1.8%
-Net NPAs (%)	1.7%	0.3%	0.8%	1.3%

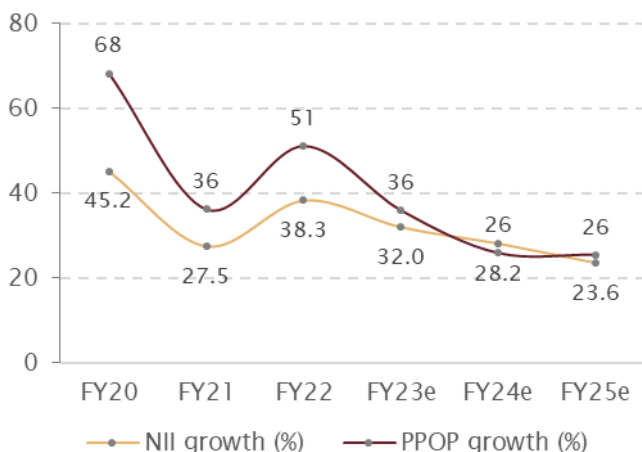
Source: Company, Dalal & Broach Research

Exhibit 1: AUMs are likely to grow at 30% CAGR over FY22-24e

Source: Company, Dalal & Broacha Research

Exhibit 2: Spreads will drop by 20 bps, but still remain above 5.5% mark

Source: Company, Dalal & Broacha Research

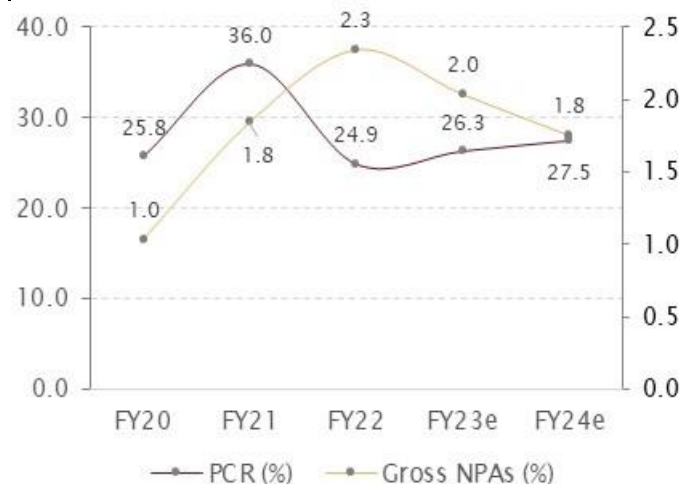
Exhibit 3: Strong AUMs + stable to marginal drop in yields would result in healthy NII growth of 33% CAGR over FY22-24e

Source: Company, Dalal & Broacha Research

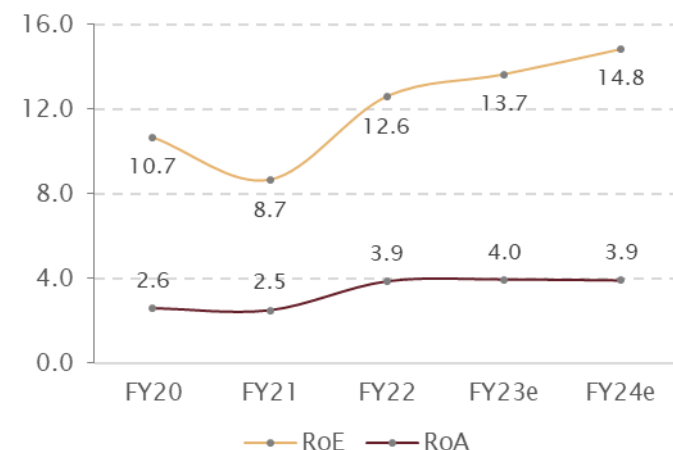
Exhibit 4: The company is likely to double the branch count in next 2 years time...

Physical Presence	Branches	Districts	Q1FY23 (%)
Gujarat	22	22	24
Maharashtra	18	16	19
Tamil Nadu	18	19	19
Karnataka	5	5	5
Rajasthan	7	5	8
Telangana	7	7	8
MP	5	6	5
UP & Uttarakhand	1	8	1
Harayana & NCR	1	2	1
Chhatisgarh	2	4	2
Andhra Pradesh	7	8	8
Total	93	102	100

Source: Company, Dalal & Broacha Research

Exhibit 5: Stable asset quality profile to continue forward as well ...

Source: Company, Dalal & Broacha Research

Exhibit 6: With the increase in the leverage, ROE is likely to jump from 12.6% in FY22 to 14.8% in FY24e

Source: Company, Dalal & Broacha Research

Quarterly Financials

(Rs mn)	Q1FY23	Q4FY22	Q4FY21	Q1FY21	Q3FY22	Q-o-Q (%)	Y-o-Y (%)
Interest income	1,450	1,310	1,045	1,091	1,215	10.7	32.9
Interest expense	605	536	535	527	545	12.8	14.7
Net interest income	845	774	511	564	670	9.2	49.8
Net gain on DA	99	138	182	194	176	-28.4	-48.9
Other Income	144.5	112	131	133	127	28.6	8.8
Net Income	1,089	1,025	824	891	973	6.2	22.2
Operating Expenses	390	366	315	284	321	6.5	37.2
Employee expense	229	229	189	186	201	0.0	23.7
Other expense	160	137	126	99	120	17.3	62.6
PPOP	699	659	509	607	651	6.1	15.2
Provisions	36.1	27	83	130	60	34.6	-72.3
PBT	663	632	425	476	591	4.9	39.2
Tax	150.5	150	112	125	132	0.1	20.2
One-time tax adjustment		-120	-	-	-		
PAT	513	602	313	351	459	-14.9	46.0
Loan Book (Rs mn)							
Disbursements	6,610	6,411	4,518	3,046	5,696	3.1	117.0
Gross Loan Assets / AUM	58,319	53,803	41,411	42,943	49,940	8.4	35.8
Assigned Assets	11,131	10,252	7,656	8,488	9,914	8.6	31.1
Loans - Principal Outstanding	47,678	43,515	33,718	34,411	40,004	9.6	38.6
AUM Mix							
Housing Loan	52,487	48,844	38,259	39,675	45,700	7.5	32.3
Loans for Commercial Property	583	520	378	392	467	12.2	48.9
Loans Against Property	5,249	4,214	2,297	2,467	3,512	24.6	112.7
Developer Finance	-	226	478	409	262	-	-
Total	58,319	53,803	41,411	42,943	49,940	8.4	35.8
Asset Quality (%)							
DPD 1+	5.0	5.3	6.2	8.9	6.5	-0.3	-1.5
DPD 30+/POS	3.5	3.7	4.1	5.8	4.7	-0.2	-1.2
Stage 3/ POS	2.1	2.3	1.8	1.9	2.6	-0.2	-0.5
Stage 3 (net)/net POS	1.7	1.8	1.2	1.4	2.0	-0.1	-0.3
PCR	45.8	47.1	74.4	70.3	46.2	-1.3	-0.4
Yield, Cost of Funds & Spreads (%)							
Portfolio Yield (IGAAP)	12.7	12.8	12.8	12.7	12.8	-0.1	-0.1
Cost of Borrowings (IGAAP)	6.9	7.2	7.4	7.2	7.2	-0.2	-0.3
Spread	5.8	5.6	5.4	5.5	5.6	0.2	0.2
NIM	6.4	6.3	4.8	5.0	5.8	0.0	0.6
Other Ratios (%)							
Cost-to-income	35.8	35.7	38.3	31.9	33.0	0.1	2.8
CRAR	52.3	58.6	56.2	56.4	59.0	-6.3	-6.7
Return on assets	3.9	4.9	2.9	3.1	4.0	-1.1	-0.1
Return on equity	12.8	15.6	10.1	10.0	12.4	-2.8	0.5

Source: Company, Dalal & Broacha Research

Financials

P&L (Rs Mn)	FY20	FY21	FY22	FY23e	FY24e	FY25e
Interest income	3,425	4,061	4,770	6,424	8,660	11,279
Interest expense	1,938	2,166	2,148	2,962	4,223	5,797
NII	1,487	1,895	2,622	3,462	4,437	5,483
Non-interest income	754	830	1,187	1,547	1,826	2,329
Net revenues	2,241	2,726	3,809	5,009	6,263	7,812
Operating expenses	1,020	1,064	1,296	1,591	1,960	2,411
PPOP	1,220	1,662	2,513	3,418	4,303	5,402
Provisions	165	322	250	335	435	568
PBT	1,055	1,340	2,263	3,083	3,868	4,834
Tax	278	339	402	777	975	1,218
PAT	777	1,001	1,861	2,306	2,893	3,616

Balance sheet	FY20	FY21	FY22	FY23e	FY24e	FY25e
Share capital	157	175	175	175	175	175
Reserves & surplus	9,178	13,631	15,562	17,868	20,761	24,377
Net worth	9,334	13,805	15,737	18,043	20,936	24,552
Borrowings	24,938	30,537	34,668	46,490	60,423	78,830
Other liability	530	759	764	967	1,235	1,579
Total liabilities	34,802	45,101	51,169	65,500	82,594	1,04,961
Fixed assets	210	167	200	249	297	338
Investments	1,456	3,750	-	3,000	3,150	3,308
Loans	30,139	33,265	43,049	55,788	72,507	94,596
Cash	2,221	6,799	6,678	5,096	5,243	5,293
Other assets	777	1,121	1,242	1,366	1,396	1,427
Total assets	34,802	45,101	51,169	65,500	82,594	1,04,961

Ratios	FY20	FY21	FY22	FY23e	FY24e	FY25e
Growth (%)						
NII	45.2	27.5	38.3	32.0	28.2	23.6
PPOP	68.3	36.2	51.2	36.0	25.9	25.5
PAT	71.9	28.8	85.8	23.9	25.5	25.0
Advances	41.2	10.4	29.4	29.6	30.0	30.5
Spread (%)						
Yield on Funds	13.3	12.8	12.5	13.0	13.5	13.5
Cost of Funds	8.8	7.8	6.6	7.3	7.9	8.3
Spread	4.5	5.0	5.9	5.7	5.6	5.2
Asset quality (%)						
Gross NPAs	1.0	1.8	2.3	2.0	1.8	1.6
Net NPAs	0.8	1.2	1.8	1.5	1.3	1.1
Provisions	25.8	36.0	24.9	26.3	27.5	28.4
Return ratios (%)						
RoE	10.7	8.7	12.6	13.7	14.8	15.9
RoA	2.6	2.5	3.9	4.0	3.9	3.9
Per share (Rs)						
EPS	9.9	11.5	21.2	26.3	33.0	41.3
BV	119.2	158.0	179.6	205.9	238.9	280.2
ABV	116.2	153.4	170.9	196.3	228.3	267.8
Valuation (x)						
P/E	95.3	82.6	44.5	36.0	28.7	22.9
P/BV	7.9	6.0	5.3	4.6	4.0	3.4
P/ABV	8.1	6.2	5.5	4.8	4.1	3.5

Source: Company, Dalal & Broach Research

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